

Pyramiding Behaves Very Differently Across Trading Models

Pavel Kýček — CEO at ROBUXIO — LinkedIn post, 31 August 2026
https://www.linkedin.com/posts/pavelkycek_pyramiding-behaves-very-differently-across-share-7500123164837085184-xTB-/

Pyramiding behaves very differently across trading models.

Trend-following models depend on rare outlier moves. Adding to a position later in the trend means:

- Buying at progressively worse prices
- Concentrating risk after volatility has expanded
- Increasing dependence on the remaining part of a rare winner
- Losing more when the breakout reverses

Mean reversion models can respond differently.

One simple test used 3 long models with the same exit. Each version entered at a deeper level than the previous one. Staging the entries improved expectancy in every test and improved the Sharpe ratio in almost every test.

The later entries benefited from a larger overshoot and a better average price.

Pyramiding should match the model's payoff distribution. The same position-sizing rule can improve one model and weaken another.

Attached chart: "Model Expectancy and Sharpe"

Subtitle: Binance futures | Daily portfolio backtest. Left panel y-axis: mean net return per trade. Right panel y-axis: annualised Sharpe ratio.

Model	Expectancy (mean net return per trade)	Annualised Sharpe ratio
Model 1	1.09%	1.28
Model 2	2.51%	1.64
Model 3	3.94%	1.40

Model 1 to Model 3 correspond to progressively deeper entry levels sharing a common exit. Expectancy rises monotonically with entry depth; the Sharpe ratio peaks at Model 2 and falls at Model 3.